

Proposed data protection authority of India

- Regulatory body to oversee and enforce data protection rights
- Shall have power to make inquiries and take action against data processors

—Justice B.N. Srikrishna committee report

implementing new privacy rules, while Israel has revised requirements for disclosures of data breaches.

Background

Vast amounts of personal data being collected by private companies and state agencies, its flow across national jurisdictions and absence of a data protection legal framework in India have caused deep concern for long. This has been even more so because, in many cases, individuals whose data have been used and processed are oblivious to the purpose for which they are being harnessed.

For example, it was reported that UK-based political consulting firm Cambridge Analytica harvested profiles of up to 50 million Facebook users without their approval during the last US elections. Facebook chief Mark Zuckerberg made the revelation that data of over 87 million users was shared with Cambridge Analytica and that 562,000 people in India were potentially affected by this global data leak crisis. This revelation raised widespread privacy concerns in India, since a similar breach could sway the upcoming state and general elections in the country.

In the wake of Facebook-Cambridge Analytica scandal, Reserve Bank of India (RBI) found that only a handful of payment system operators in India and their outsourcing partners were storing user data in the country, either partially or completely. The RBI held that the payment ecosystem in India had expanded considerably, making it necessary to ensure the safety and security of data through its localisation.

To correct the situation, the RBI mandated, in April 2018, that all payment companies must store their data within India. And they must comply with this norm within six months.

In June 2018, the finance ministry suggested that a possible solution could

be to allow companies to store their data offshore as long as a copy was kept in India. In its draft bill, the committee recommended that critical personal data only be stored in servers located within the country, so that data localisation could help protect the rights of users and prevent foreign surveillance.

The Indian government has had reservations over WhatsApp's data storage policies, too. It believes that WhatsApp is not following two-factor authentication, and that it is sharing data with its parent company, Facebook. The government is not granting clearance to WhatsApp to launch its payment service unless it sets up an office and recruits a team in the country. It is also prioritising on curbing fake news on its platform.

WhatsApp's payments feature is built on Facebook's payments infrastructure. A significant issue is RBI's directive on data storage, which mandates that all user payment data be stored within the country.

Recently, Justice Srikrishna's committee on data protection submitted a report and a draft bill to the government. The draft bill lays down the rights of data principals (Indian citizens), proposes the creation of a data authority to enforce the act and sets penalties for violations by data fiduciaries (public and private sector entities that collect, process and store data). This draft may be modified by the government before being sent for the Cabinet's approval and introduced in the Parliament.

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The draft bill lays down that, to enforce the law, the Central government, by way of a notification, must set up Data Protection Authority (DPA) of India with five-year terms. The authority will have the power to monitor and enforce the provisions of the data protection bill and fill some

of the gaps between the bill's vision and actual regulation. The chairperson would be appointed by the Central government on the recommendation of a panel headed by the Chief Justice of India.

The DPA will have immense regulatory power to regulate data protection across multiple sectors, such as telecom, banking, medical services and so on, with the authority to make binding rules, non-binding codes of practice for these sectors and to enforce these rules. Broadly, it will perform the functions of monitoring and enforcement, legal affairs, policy and standards setting, research, awareness and inquiry, and grievance handling and adjudication.

The DPA will also have the power to issue directions, call for information, launch inquiries, levy penalties, and even temporarily suspend or discontinue the business activity of a data fiduciary or data processor in case of gross violation of the provisions of the draft law. Penalties may be imposed on data fiduciaries, and compensations may be awarded for violations of the data protection law.

The draft bill calls for a separate appellate tribunal to be set up to hear appeals made against DPA orders. The head and members of this tribunal will be subject to rules of qualifications, term of office and renewal as framed by the Central government.

Jurisdiction of the proposed law

According to the proposal, the law will have jurisdiction over the processing of personal data if such data has been used, shared, disclosed, collected or otherwise processed in India. However, in respect of processing by fiduciaries that are not present in India, the law shall apply to those carrying on businesses in India or any other activities, for example, profiling that could cause privacy harms to data principals in India.

Additionally, personal data collected, used, shared, disclosed or otherwise processed by companies under Indian law will be covered, irrespective of where it is actually processed. However, the data protection law can empower the government to exempt companies that only process personal



Right to portability forces MakeMyTrip to give the user his or her order history data before passing it on to Cleartrip (Credit: <http://bwdisrupt.businessworld.in>, <http://promocodeclub.com>)